ABC Assurances — Fictional Homeowners Policy (Form H-100)

Document ID: ABC-POL-HOME-2026-001 Version: 2.1.0

Effective date (fictional): 2026-01-01

FICTIONAL DOCUMENT — FOR EDUCATIONAL USE ONLY
ABC Assurances is a fictional insurer. This policy text is invented for software and RAG training demos. It is not legally binding and must not be used for real underwriting, claims, or compliance decisions.

ABC Assurances Homeowners Policy (Form H-100)

This Policy is issued by ABC Assurances, a fictional Canadian property insurer, for educational demonstrations only. Words in bold capitals in this document are defined in Section 1. Cross-references to **Form C-200** (Claims Procedure) and **Form A-300** (Auto) are illustrative only.

1. Definitions

1.1 **Dwelling** means the residential building described on the Declarations Page, including permanently attached structures, but excluding land, septic systems beyond the foundation wall, and structures used primarily for business unless endorsed under Section 8.

1.2 **Sudden and accidental** means an event that is both unforeseeable at policy inception and completes its damaging effect within a continuous 72-hour period, subject to the water damage limitations in Section 5.

1.3 **Gradual damage** means deterioration, seepage, or loss that occurs incrementally over more than 72 hours, including recurring dampness, mould escalation, or foundation movement caused by chronic moisture conditions.

1.4 **Flood** means the rising, overflowing, or breaking out of natural or artificial bodies of water affecting two or more properties or a region, as determined by ABC Assurances' fictional hydrology guide HG-2.

1.5 **Backup of sewer or drain** means the discharge of water or wastewater through a plumbing fixture caused by obstruction within the building's sanitary system, distinct from groundwater infiltration under Section 5.3.

2. Insuring Agreement

2.1 ABC Assurances agrees to pay for **direct physical loss** to the Dwelling and **personal property** covered under this Policy, caused by a **covered peril** listed in Section 4, subject to all exclusions, conditions, limits, and deductibles shown on the Declarations Page.

2.2 Coverage attaches at 12:01 a.m. local time on the effective date shown on the Declarations Page and continues until cancelled or non-renewed according to Section 9.

2.3 **Pair and set clause.** If one item of a pair, set, or collection is lost or damaged, we will pay the lesser of the value of the entire pair or set or the reasonable repair cost of the damaged item, unless the Declarations Page lists a **scheduled articles** endorsement.

3. Declarations Page and Limits (Fictional Sample)

3.1 Policy number format: H-100-XXXXXX. Dwelling limit (Coverage A): fictional $750,000. Personal property (Coverage C): 70% of Coverage A unless amended.

3.2 Standard deductible: $1,000 per occurrence for property damage unless a water damage deductible applies under Section 5.6.

3.3 **Liability limit (Coverage E):** $2,000,000 per occurrence for bodily injury or property damage arising out of **personal and residential premises** liability, excluding business pursuits unless endorsed.

4. Covered Perils (Standard Form H-100)

4.1 Fire, lightning, explosion, smoke (sudden), impact by aircraft or land vehicle not owned by an insured, riot, vandalism, theft, windstorm, hail, and sudden leakage from plumbing, heating, or air-conditioning systems when the leak is **sudden and accidental**.

4.2 **Water damage — sudden branch.** We cover sudden and accidental discharge or overflow of water from a domestic appliance, heating system, or plumbing fixture, provided the insured takes reasonable steps to mitigate further damage within 24 hours of discovery (see Section 6.2 and **Form C-200** Section 3).

4.3 Coverage under 4.2 does not extend to the cost of repairing the appliance or system that failed, except when fire or explosion results from the same event.

5. Water Damage, Foundations, and Optional Endorsements

5.1 General water limitation

5.1.1 Unless amended by endorsement, this Policy does not insure **Flood**, surface water, waves, tsunami, seepage through basement floors not tied to a sudden event, or water below the surface of the ground that enters through basement walls, floors, or foundations except as stated in 5.2 through 5.5.

5.2 Sudden water damage (burst and overflow)

5.2.1 We cover **sudden and accidental** water damage from burst pipes, failed washing-machine hoses, or overflowing bathtubs when the event is documented within 72 hours and is not caused by freezing of unheated pipes in a dwelling left vacant more than 60 consecutive days (see Condition 7.4).

5.2.2 **Cross-reference:** Sewer backup is not covered under 5.2 unless **Endorsement H-WBU** (Sewer Backup) is purchased; see 5.5.

5.3 Water infiltration through foundations and gradual damage

5.3.1 **Foundation infiltration exclusion.** We do not cover loss caused by water entering through foundations, basement walls, or floors due to hydrostatic pressure, capillary action, defective waterproofing, or grading that directs water toward the Dwelling, whether or not aggravated by a rainfall event.

5.3.2 **Gradual damage exclusion.** We do not cover mould, rot, corrosion, or structural deterioration resulting from **gradual damage**, including chronic seepage, recurring condensation, or slow plumbing leaks undetected for more than 72 hours. If a sudden event is proven, only damage occurring within the 72-hour window may be considered under 5.2.1.

5.3.3 **Exception for sudden foundation breach.** If a sudden and accidental break in a municipal water main directly pressurizes groundwater and causes documented foundation cracking and water entry within 72 hours, we pay up to **$25,000** under Coverage A sublimit **FND-SUDDEN**, unless excluded by prior known structural deficiency noted in the application.

5.3.4 Inspection condition: claims invoking 5.3.3 require engineering report **ER-FND** within 15 days (**Form C-200** Section 4.2).

5.4 Overland water (optional)

5.4.1 **Endorsement H-OVW** may be added for fictional coverage of freshwater overland flow entering at or above ground level. Sublimit and deductible are shown on the endorsement schedule. **Flood** as defined in 1.4 remains excluded unless **Endorsement H-FLD** is also attached.

5.5 Sewer backup and sump pump failure (optional)

5.5.1 **Endorsement H-WBU** covers **Backup of sewer or drain** and failure of a sump pump when the endorsement is listed on the Declarations Page. A separate deductible of $2,500 applies unless reduced by package **H-PLUS**.

5.5.2 Maintenance condition: insured must demonstrate annual sump pump testing; failure to test does not void the Policy but may reduce payment by 25% for sump-related claims.

5.6 Water damage deductibles

5.6.1 When loss is caused by water (5.2 or optional endorsements), the applicable deductible is the greater of the standard deductible or **$2,500 water deductible**, except for fire-following water damage which uses the standard deductible only.

6. Conditions

6.1 **Duties after loss.** Notify ABC Assurances within 7 days; protect property from further damage; keep damaged material; submit proof per **Form C-200**.

6.2 **Mitigation.** Failure to reasonable mitigate may reduce payment proportionally. Running dehumidifiers and engaging emergency dry-out within 48 hours is deemed reasonable for sudden water events.

6.3 **Concealment and fraud.** This Policy is void as to any claim involving material misrepresentation.

6.4 **Subrogation.** We may pursue recovery against responsible third parties; you must cooperate.

7. Exclusions (Property)

7.1 Earth movement, nuclear hazard, war, intentional loss, wear and tear, insects, rodents, and mechanical breakdown of equipment not resulting in covered peril damage.

7.2 **Vacancy.** If the Dwelling is vacant more than 60 consecutive days, water, theft, and vandalism coverages are suspended unless **Endorsement H-VAC** is in force.

7.3 **Business property** stored at the residence above $5,000 total unless scheduled.

7.4 Freezing of pipes in a heated dwelling if heat was not maintained or water was not shut off during vacancy.

8. Endorsements Summary (Fictional Catalogue)

8.1 **H-WBU** — Sewer backup and sump pump (Section 5.5).

8.2 **H-OVW** — Overland water (Section 5.4).

8.3 **H-FLD** — Catastrophic flood pool participation (sublimit applies; not available in all fictional territories).

8.4 **H-RC** — Replacement cost on personal property.

8.5 **H-SCH** — Scheduled jewellery and bicycles.

8.6 **H-VAC** — Vacancy permission up to 12 months.

8.7 **H-FND+** — Increases **FND-SUDDEN** sublimit to $50,000; does not remove 5.3.1 gradual or infiltration exclusions.

9. Cancellation and Renewal

9.1 You may cancel at any time. We may cancel for non-payment with 15 days' notice or for material misrepresentation subject to fictional provincial rules ABC-ON-12.

9.2 Renewal offers may change deductibles or require proof of sump pump maintenance if **H-WBU** was previously claimed.

10. General Provisions

10.1 **Entire contract.** Policy, Declarations, endorsements, and application. Inconsistency: endorsements control, then Declarations, then form H-100.

10.2 **Loss payment.** We pay actual cash value unless replacement cost endorsements apply; depreciation is fictional and recovered when repair is completed within 180 days.

10.3 **Dispute resolution.** Fictional mediation through ABC Assurances Ombudsman Office; see **Form C-200** Section 8 for alignment with claims appeals.

10.4 **Educational disclaimer.** No provision in this Policy creates enforceable rights outside a classroom, demo, or RAG retrieval exercise.

10.5 Schedule of imaginary territories

10.5.1 Territory A (Metro East): overland water endorsements subject to hazard zone ME-3.

10.5.2 Territory B (Northern Inland): foundation infiltration claims require soil report SR-22 more frequently.

10.5.3 Territory C (Coastal Fictional): wind and hail sublimits differ; water sections unchanged unless **H-FLD** is sold with coastal package.

11. Cross-Reference Index

11.1 Water sudden events: 4.2, 5.2, 5.6.

11.2 Foundation and gradual: 5.3, exclusions 7.1, endorsement **H-FND+**.

11.3 Claims handling: **Form C-200** throughout.

11.4 Liability overlap with auto: **Form A-300** Section 6 (non-owned premises).

12. Illustrative Claim Scenarios (Educational)

12.1 **Scenario A — Burst supply line.** A supply line behind a dishwasher fails suddenly. Water spreads across kitchen and dining room within one hour. Mitigation begins same day. Covered under 5.2.1 subject to water deductible 5.6.1. Gradual cabinet swelling discovered two weeks later is excluded under 5.3.2 unless tied to documented sudden event.

12.2 **Scenario B — Spring thaw infiltration.** Water enters basement through foundation walls after repeated minor seepage all winter. Excluded under 5.3.1 and 5.3.2. **Endorsement H-OVW** does not apply because entry is below grade through foundation, not overland at door level.

12.3 **Scenario C — Municipal main break.** Main break pressurizes ground, cracks foundation, water enters within 48 hours. Up to **FND-SUDDEN** sublimit if ER-FND filed per 5.3.4 and **Form C-200** Section 3.2.

12.4 **Scenario D — Sewer backup with H-WBU.** Backup through basement toilet after storm. Covered if **H-WBU** active, separate deductible 5.5.1, maintenance log reviewed.

13. Premium and Rating Factors (Fictional)

13.1 Postal code hazard bands HZ-1 through HZ-5 affect water endorsements availability.

13.2 Prior water claims in 5 years may require higher deductibles or denial of **H-OVW**.

13.3 Age of roof and type of foundation (poured vs block) adjust wind and water sublimits in territory schedules 10.5.

14. Contact and Servicing (Fictional)

14.1 Policy service: fictional 1-800-ABC-HOME.

14.2 Claims intake: **Form C-200** Section 2.

14.3 Document ID **ABC-POL-HOME-2026-001** must be cited on all endorsements and correspondence.

Reminder: FICTIONAL — FOR EDUCATIONAL USE ONLY. ABC Assurances is not a real insurer.